Sportking India Ltd

Concall Tracker · Q2 2027 · first report

1. Snapshot

Punjab-based cotton and blended yarn spinner with about 3.8 lakh spindles, selling yarn to fabric and garment makers in India and in 39 countries, mainly Bangladesh and China. It earns the spread between what it pays for cotton and what yarn sells for.

Number	Value	What it means
Market cap	Rs 2,647 cr	What the market values the whole company at (Screener).
Q2 FY27 sales	Rs 781 cr	Up 24% on last year; exports about 52% of revenue.
Q2 FY27 operating margin	20% (19.8% per call)	Roughly double the 10% of a year ago, thanks to better yarn spreads.
Q2 FY27 net profit	Rs 96 cr	More than three times the Rs 28 cr of a year ago; helped a bit by a Rs 7-8 cr lower depreciation charge after a method change.
Borrowings	Rs 545 cr (Sep 2026)	Down from Rs 953 cr in Dec 2025, but set to rise to about Rs 900 cr-1,000 cr by March 2027 for the new plant.
Stock P/E	11.5x	Cheap on today's profit, but this is a cyclical business and profit is near a high.

2. Concall coverage

Quarter	Date	Transcript read?
Q3 FY25	30 Jan 2025	Yes (key passages)
Q4 FY25	2 May 2025	Yes (key passages)
Q1 FY26	5 Aug 2025	Yes (key passages)
Q2 FY26	12 Nov 2025	Yes (key passages)
Q3 FY26	9 Feb 2026	Yes (key passages)
Q4 FY26	19 May 2026	Yes (key passages)
Q1 FY27	3 Aug 2026	Yes (key passages)
Q2 FY27	30 Oct 2026	Yes, read in full ★

Eight calls over about two years. Older calls back to 2023 are on Screener but weren't needed for this read.

Latest concall highlights: Q2 FY27 (30 Oct 2026)

- EBITDA margin 19.8% vs 10.4% a year ago, from stronger yarn demand, cost work over two to three years and stable cotton prices. Spread about Rs 141 a kg vs Rs 133 in Q1.
- Guidance: H2 margins on old capacity to stay close to H1; spreads seen at Rs 130-145 a kg for the next three to four months; order book visible till about 10 March.
- Odisha 1.5 lakh-spindle plant (about Rs 1,000 cr): building almost complete, machines being erected, commercial production in 30-40 days, whole project by March 2027. Rs 150-200 cr revenue this year and Rs 1,200-1,300 cr next year, at margins 4-6 points above the old plants.
- Existing plants ran at 99% capacity. 40 MW solar power commissioned, cutting power cost by about 15%.
- Fabric and garment group companies still not merged; expected within a couple of months, paid for with non-convertible preferential shares.

Business mix & capacity

Domestic vs export: Exports about 52% of Q2 FY27 revenue (57% in Q3 FY25). Bangladesh and China are the big buyers; domestic demand was slower but picks up after Diwali.

Capacity use: Existing plants at 99% utilisation in Q2 FY27, so no room left. The Odisha plant adds about 40% more spindles (1.5 lakh over about 3.8 lakh), with land for another 3 lakh later.

3. Earning Trigger thesis

The trigger is the Odisha greenfield spinning plant. Existing plants are running full, yarn spreads are the best in years after a lot of spindles shut across India and the world, and the new plant adds about 40% capacity with a 30% capital subsidy, cheaper power and labour support that management says gives it margins 4-6 points higher. It starts in the next month or so and is guided to bring Rs 1,200-1,300 cr of revenue next year. The catch is that the margin jump came from cotton-to-yarn spreads the company doesn't control; if spreads fall back, so do profits, and debt will climb to fund the plant.

Trigger	What management said	Evidence so far	Time horizon	Strength
Odisha greenfield plant	Rs 1,000 cr for 1.5 lakh spindles; production in Q3 FY27 (Aug 2025, May 2026, Aug 2026)	Building nearly done, machines being erected, production in 30-40 days (Oct 2026)	Q3 FY27-FY28	Strong, on schedule
Better yarn spreads	Consolidation 'has now unlocked the real potential of spinning sector' (May 2026)	EBITDA margin about 19-20% in Q1 and Q2 FY27 vs 10% a year ago	Next 3-6 months visible	Moderate, cyclical
Solar power	40 MW from 1 March 2026 (Nov 2025)	Started end of May 2026; about 15% power-cost saving	Now	Delivered, a bit late
Fabric and garment merger	Pending approval (Jan 2025)	Still not merged in Oct 2026; 'next couple of months'	FY27	Weak, slipping

3b. Trigger check

Trigger type	Yes/ No	What was said (date)
Debt cut	No	Debt fell from Rs 953 cr to Rs 545 cr, but management guides peak debt below Rs 1,000 cr by March 2027 for the new plant. Earlier, Rs 360 cr repaid in FY25 (May 2025).
New business	No	Garment plans 'maybe second half of next year'; fabric and garment merger not done.
Margin up	Yes	EBITDA margin 19.8% vs 10.4%, from better demand, cost efficiency and stable cotton (30 Oct 2026).
New management	No	No change.
New capacity	Yes	Odisha 1.5 lakh-spindle plant to start commercial production in 30-40 days, full project by March 2027 (30 Oct 2026).
Big orders	No	Order book about three months forward; no large contracts.
Turnaround	No	Profitable throughout.
Promoter buying	No	Promoters already at 75%; merger to be paid with non-convertible preferential shares, not equity.

The single concrete driver: A new Odisha spinning plant adding about 40% capacity, with state subsidies, starts production within weeks while the old plants are full and yarn spreads are strong.

3c. Margin bridge

EBITDA margin about doubled to 19.8% from 10.4% a year ago. Yarn sold at better prices as demand rose and many spindles shut across the industry, cotton prices stayed stable and the company's cost work paid off; solar power now cuts power costs too. Management expects H2 margins near H1, but this rides the cotton-yarn spread, which swings (one-off).

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
Jan 2025	Margins to improve 100-200 bps by debottlenecking	FY25 EBITDA margin up about 179 bps to 10.4%	Delivered
May 2025	Double-digit EBITDA margin in FY26	FY26 quarters ran 10-13%	Delivered
Aug 2025	Odisha plant in production 12-15 months from then; Q3 FY27 (May 2026)	Production due within 30-40 days of 30 Oct 2026	Delivered so far
Nov 2025	40 MW solar power from 1 March 2026	Started end of May 2026	Partly
Nov 2025	H2 FY26 margins similar or slightly better	Q3 10.2%, Q4 13%	Delivered
Jan 2025 onward	Merge group fabric and garment companies	Still pending in Oct 2026	Missed

Narrative drift: The story has been steady: stay lean, wait for the spinning cycle to turn, then add capacity. That's what happened. Management avoided giving firm guidance in weak years and has been careful about debt. The only lagging piece is the merger of group companies, which keeps getting pushed.

5. Bottom line

Durable earning trigger? → YES

A concrete plant, on schedule, starting within weeks, with full old plants and strong demand to fill it. It's a commodity business though, so the margin part of the story depends on cotton and yarn prices.

Management consistent? → YES

They delivered the margin steps they talked about and the big Odisha project is on time. The solar plant came about three months late and the group-company merger keeps slipping, but the core promises held.

6. Checkpoints for next quarter

- Odisha plant starts commercial production by end of 2026
- EBITDA margin in H2 stays close to H1 levels
- Fabric and garment companies merged into Sportking

This is not investment advice. Do your own due diligence.